Germany: Little room for Merz to deliver by 2029

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【メール原文】

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Fiscal constraints and infighting will limit government delivery before 2029

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Chancellor Friedrich Merz's coalition will likely pass the 2027 budget but deliver reforms too small to lead Germany out of its structural economic challenges before the 2029 election campaign takes over in 2028.
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Berlin is spending heavily on defense and infrastructure, but competing priorities between the coalition partners elsewhere will keep the coalition fighting over cuts under a debt brake that still binds most spending.
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Berlin will remain reluctant to pursue new joint EU borrowing even as France, Italy, and Spain (whose interest bills will continue to exceed their defense budgets) look to Germany to underwrite rearmament and Ukraine.

Government will struggle to deliver over coming year amid coalition divides on ideology and spending. By the end of 2027, the political window for decisive change will begin to close as the federal elections due by early 2029 will largely overshadow 2028 (see chart below). Until then, the government will continue to implement reforms too small to have a significant effect, but big enough to sustain vicious coalition infighting. The main test will be the pension overhaul due by year-end, which includes a divisive overhaul of the early retirement scheme. Eurasia Group believes it will ultimately be adopted, but at considerable cost of political capital for both the Christian Democrats (CDU/CSU) and the Social Democrats (SPD).

In Germany's coalition culture, all sides traditionally have budgetary leeway to finance their political wish lists. This was how former chancellor Angela Merkel managed consensus amid shifting coalitions over 16 boom years. It is not an option for Merz, who faces meager growth, social contributions rising from 42.3% to 45.4% of wages by 2030, a war on his doorstep, and a debt brake constraining most spending. This creates a contradictory fiscal situation: Germany has significantly increased spending on "special" areas such as defense and infrastructure, while simultaneously facing fiscal constraints in all other policy fields. Growth will fall below 1% from 2029 as the fiscal boost fades (see chart below).

Budget execution will remain fraught throughout next year. At least seven disputed measures will have to be resolved before the budget committee's final session on 12 November—a massive test of the coalition's governing capacity (see chart below). This will likely be accomplished (an 85% probability), but only by postponing decisions until the next year on how to close the remaining financing gap. The hunt for savings will fuel tensions between the CDU/CSU and the SPD.

Competing priorities will leave Merz and Finance Minister Lars Klingbeil little room outside defense and infrastructure. The constitutional debt brake still limits federal borrowing for all policy fields, with two exceptions: defense spending above 1% of GDP and a €500 billion infrastructure fund (see chart below). There is next to no political space to loosen the debt brake further.

Klingbeil has asked all government departments to identify spending cuts for the coming years, and the hole in the 2028 budget is estimated at up to €28 billion, rising to €48 billion by 2030. The 2030 plan already relies on savings the government has yet to identify of 1.4% of GDP, while defense, interest, and pensions take a growing share (see chart below). Aging adds to the squeeze: the 2025 pension package raises costs, and the planned reform would offset only part of the rise by 2050.

Berlin will continue to embrace a frugal approach in negotiations over the next EU budget. Ultimately, Germany will not hinder a compromise (see: Governments will blunt plans for more EU investment spending, 7 October 2026), but will ask for policy concessions on its core demand to redirect funds from agricultural subsidies and cohesion funds to competitiveness, innovation, and defense. Berlin will remain skeptical of new permanent or grant-based EU common borrowing, except for Ukraine, even though France, Italy, and Spain, whose interest bills will continue to exceed their defense spending, will look to Germany for funding.

Germany will be at increasing risk of an excessive deficit procedure (EDP) over the medium term. Germany's growing deficit (above 4% in 2027) will weaken its position to lecture other EU members on fiscal matters. Net spending will grow by 5.75% in 2026 and 3.75% in 2027 under the draft budgetary plan sent to Brussels on 15 October—above the agreed EU path of 4.5% and 2.3%. The national escape clause covers the breach in 2026 by excusing up to 1.5% of GDP in extra defense spending. According to the government's latest figures, however, the deficit will remain above 3% even after that allowance, so the risk of an EDP will rise from 2027.

Ukraine will add to the fiscal pressures. Germany is already the largest donor to Ukraine's defense, with about €12 billion budgeted for 2027, but only €8.5 billion a year in 2028-2030. A Marine Le Pen victory in France—which Eurasia Group sees as the most likely outcome—would push aid toward bilateral commitments after 2028, raising pressure on Berlin to fill more of the gap (see: EU to fund Kyiv in 2027 but 2028 cliff looms , 5 November 2026). Beyond the budget, Berlin's growth agenda in Brussels rests on deeper capital markets with the E6 group and tougher trade defense against China, which will take time to help industry.

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